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CASE #	CASE NAME	HEARING NAME
CVRI2507091	ROMERO vs MARCELO	MOTION FOR ENTRY OF INTERLOCUTORY JUDGMENT FOR PARTITION BY SALE, APPOINTMENT OF PARTITION REFEREE, AND RELATED ORDERS

Tentative Ruling:

Motion granted. No opposition filed.

5.

CASE #	CASE NAME	HEARING NAME
RIC1702811	SAN JACINTO COLINAS 337 LLC vs INVESTUSA HOLDING ENTERPRISES LLC	MOTION FOR SUMMARY JUDGMENT

Tentative Ruling:

Summary of Ruling:

Summary Judgment/Adjudication: The Court denies the motion for summary judgment. San Jacinto has failed to meet its initial burden. The Court treats the motion as a motion for summary adjudication as to the first cause of action in the complaint and the third cause of action in the first amended-cross complaint only, due to San Jacinto's failure to comply with California Rules of Court, rule 3.1350(b), (d), and (f) and CCP § 437c(f)(1). The Court denies the motion for summary adjudication as to these causes of action because San Jacinto has failed to meet its initial burden.

PMK Deposition: The Court grants San Jacinto's request to reopen discovery. The Court reopens discovery only for the taking of InvestUSA's PMK and orders that the deposition shall be completed in one calendar day. The deposition shall not exceed 7 hours. The Court will discuss with the parties regarding a convenient date for all parties for the PMK deposition to occur; the Court will order that the deposition go forward on that day.

Factual / Procedural Context:

San Jacinto Colinas 337, LLC ("San Jacinto") owns 96.8 acres of vacant land. It entered into an agreement with InvestUSA Holding Enterprises, LLC ("InvestUSA") for the purchase of said property. San Jacinto contends that InvestUSA breached this agreement by failing to deliver the closing cash balance to escrow, failing to execute and deliver documents to the escrow holder, and failing to provide evidence of sufficient

funds to purchase the property. The complaint asserts a cause of action for breach of contract and declaratory relief.

InvestUSA has filed a cross-complaint. It contends that San Jacinto breached the agreement by unilaterally deciding to withdraw the sale. It alleges that San Jacinto never intended to sell the property to InvestUSA and impaired title to the property. The operative pleading is the first amended cross-complaint ("FACC"). It asserts the following causes of action: (1) breach of contract, (3) common counts, and (3) fraud.

San Jacinto brings both of the instant motions. It seeks summary judgment and/or adjudication of the complaint and FACC. It asserts that InvestUSA breached the purchase agreement. It argues that there are no facts supporting that misrepresentations were made because it provided all documents needed to fulfill the due diligence requirement. It contends that the facts dispute InvestUSA's general denial in its answer.

San Jacinto also brings a motion asking the Court to extend the discovery cutoff date and compel the deposition of InvestUSA's person most knowledgeable ("PMK"). It asserts that InvestUSA's PMK deposition was noticed several times but did not go forward. It was recently noticed, but InvestUSA took the position that the discovery cutoff had passed. San Jacinto asserts that the discovery cutoff had not passed. In the alternative, it argues discovery should be reopened to allow the deposition to proceed.

In opposition to the motion for summary judgment, InvestUSA contends that its potential breaches were not material, and San Jacinto also breached the agreement and could not provide title to the property due to a lien. It argues there is sufficient evidence to support fraud. In response to the motion to reopen discovery and compel the PMK, InvestUSA contends that the parties had agreed that discovery had been completed. When this matter came back to the trial court and a new trial date had been set, San Jacinto made no request to reopen discovery. This request did not occur until 9 months after this matter came back to the trial court. It asserts that there is no good cause to reopen discovery.

The Court has read and considered Plaintiff's reply briefs to both motions.

Analysis:

Summary Judgment/Adjudication: When a plaintiff brings a motion seeking summary judgment, she has the burden to produce admissible evidence to support each element of her causes of action entitling her judgment. (CCP § 437c(p)(1); *S.B.C.C., Inc. v. St. Paul Fire & Marine Ins. Co.* (2010) 186 Cal.App.4th 383, 388.) "If the plaintiff meets this burden, it is up to the defendant 'to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto.'" (*S.B.C.C., Inc., supra*, 186 Cal.App.4th at 388.)

A defendant meets her burden in a motion for summary judgment by doing one of the following: (1) presenting affirmative evidence negating an essential element of

plaintiff's cause of action; (2) showing a complete defense; or (3) showing that plaintiff does not possess and cannot reasonably obtain needed evidence. CCP §437c(p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826. When a defendant has met her burden, it then shifts to plaintiff to show that a triable issue of fact exists.

A motion for summary judgment asks the court to determine that the entire action has no merit and to terminate the action without a trial. (CCP § 437c(a).) A motion for summary adjudication asks the court to adjudicate the merits of a particular cause of action, affirmative defense, issue of duty, or claim for damages. (CCP § 437c(f).)

This motion seeks both summary judgment and summary adjudication in the alternative to the complaint and FACC. A party can seek summary adjudication of one or more causes of action, one or more affirmative defense, one or more claim for damages, or one or more issue of duty. (CCP § 437c(f)(1).) "If a summary adjudication is sought, whether separately or as an alternative to the motion for summary judgment, the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated verbatim, in the separate statement of undisputed material facts." (California Rules of Court, rule 3.1350(b).) The separate statement must separately identify each cause of action at issue. (*Id.* at (d)(1)(A).) It must also identify "[e]ach supporting material fact claimed to be without dispute with respect to the cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion." (*Id.* at (d)(1)(B).) This motion seeks summary judgment or summary adjudication in the alternative. The separate statement and notice identify three issues that San Jacinto appears to seek summary adjudication of – (1) there are no facts to dispute InvestUSA's breach of contract, (2) the claim against San Jacinto for fraud is undisputedly without support of facts, and (3) InvestUSA's general denial does not provide disputed facts to overcome judgment.

The separate statement is not supposed to combine causes of action. As such, to the extent that the first issue attempts to be based on both San Jacinto's breach of contract claim and InvestUSA's breach of contract claim, this is improper. Since it specifically addresses InvestUSA's breach, the Court treats it as a request for summary adjudication as to San Jacinto's cause of action for breach of contract. The second issue seeks summary adjudication as to InvestUSA's fraud cause of action. The third issue does not pertain to a cause of action, affirmative defense, claim of damages, or existence of a duty. Due to this, this issue cannot be summarily adjudicated. Based on California Rules of Court, rule 3.1350(b), (d), and (f) and CCP § 437c(f)(1), this motion shall be treated as a motion for summary judgment and a motion for summary adjudication only as to the first cause of action in San Jacinto's complaint and the third cause of action in the FACC.

First Cause of Action in San Jacinto's Complaint for Breach of Contract: "To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

San Jacinto has failed to meet its initial burden as to this cause of action. San Jacinto seeks monetary damages in this cause of action. (Complaint, ¶ 29.) It has failed to provide any evidence to support the element of damages. Only two declarations have been submitted, neither one of them address the issue of damages. As such, it has failed to establish this element.

Additionally, San Jacinto has failed to provide evidence to support the second element required for breach of contract. Neither declaration provided establishes that San Jacinto has met all its conditions under the agreement or was excused from performance. Counsel's declaration only authenticates documents. The bulk of Gregory Lansing's declaration also authenticates documents. He only discusses what San Jacinto "stood ready" to do, but he does state what conditions San Jacinto performed under the agreement or whether it was excused from performing any obligation. Neither declaration includes an assertion that all conditions were met by San Jacinto or excused. Based on the agreement, San Jacinto had many obligations under the agreement, like making available and continuing to make available documents to InvestUSA, paying delinquent taxes, depositing documents with escrow, paying property taxes and assessments, complying with its representations and warranties (which were ongoing until the closing date). (Agreement of Purchase and Sale and Escrow Instructions, Exhibit H to Gregory Lansing's Declaration.) It is unclear whether these conditions were met or excused. The memorandum of points and authorities also does not discuss these requirements or excuse from compliance. Based on this, San Jacinto has failed to meet its initial burden as to the first cause of action in the complaint. Due to this, the motion for summary judgment is denied. Also, the request for summary adjudication as to this cause of action is denied.

Since the request for summary judgment fails, the Court addresses the remaining request for summary adjudication as to the fraud cause of action in the cross-complaint.

Third Cause of Action in Cross-Complaint for Fraud: The FACC is a form complaint. The third cause of action asserts claims for intentional or negligent misrepresentation, concealment, and promise without intent to perform (or promissory fraud). The claims in this cause of action are based on misrepresentations regarding the availability of a survey and disclosure documents and entry of the agreement without the intent to go through with the sale.

The necessary elements of a fraud cause of action based on intentional misrepresentation are: (1) misrepresentation, (2) knowledge that the misrepresentation is false by defendant, (3) intent to defraud, (4) justifiable reliance by the plaintiff, and (5) resulting damages. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.) Fraud based on concealment requires: "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.) "Promissory fraud is a subspecies of fraud, and an action

may lie where a defendant fraudulently induces the plaintiff to enter into a contract, by making promises he does not intend to keep.” (*Missakian v. Amusement Industry, Inc.* (2021) 69 Cal.App.5th 630, 654.) It requires a promise made regarding a material fact without the intent to perform it; the intent existed at the time the promise was made; reasonable reliance on the promise; nonperformance by the party making the promise; and damage. (*Ibid.*)

San Jacinto contends that this cause of action fails because there is no evidence to support that misrepresentations were made. San Jacinto does not try to establish this by providing direct evidence that the representations were not made. Instead, it appears to rely on lack of evidence by InvestUSA. One way a cross-defendant can meet their initial burden in a motion for summary judgment/adjudication is to show that the cross-complainant does not possess and cannot reasonably obtain needed evidence. (CCP § 437c(p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 847.) A cross-defendant moving for summary adjudication cannot simply assert that the cross-complainant does not possess evidence, it must present evidence to support this assertion, and that cross-complainant cannot reasonably obtain evidence. (*Aguilar, supra*, 25 Cal.4th at 854.) It does this by presenting evidence that extensive discovery has been done and the cross-complainant has discovered nothing. (*Id.* at 855.) San Jacinto does not present evidence to meet this requirement. While San Jacinto has provided InvestUSA’s discovery responses to special interrogatories in August of 2017, it provides no evidence regarding how much discovery before these responses were provided was done. As such, there is no evidence that extensive discovery had been done before these responses were provided. Due to this, there is no evidence that InvestUSA does not have evidence and cannot reasonably obtain evidence to support this cause of action.

San Jacinto also contends that it provided the documents necessary to fulfil its due diligence requirements. However, San Jacinto fails to provide evidence to support this assertion. San Jacinto only provides evidence that it produced documents to InvestUSA. (Declaration of Gregory Lansing, ¶ 4.) However, it does not provide evidence that these documents met its due diligence requirements. Under the agreement, San Jacinto was required to produce all documents and information in its possession, custody and/or control that are materially important to its ownership, development and/or management of the property, which includes (but is not limited to) building plans, engineering plans, environmental studies, the most recent real property tax bill, written rental agreements, and any survey of the property. (Exhibit H to Gregory Lansing’s Declaration, ¶ 3.3.3.) San Jacinto provides no evidence that all the documents in its possession custody, or control were provided.

San Jacinto’s last argument is that no damages can be obtained in a breach of fraud cause of action that is based on a contract, unless conduct violates an independent duty. This is known as the economic loss rule. However, the economic loss rule is not applicable to claims for promissory fraud and fraudulent inducement, which is asserted in the third cause of action. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 41-44.) As such, this argument fails. Therefore, the motion for summary judgment and summary adjudication as to this cause of action is denied.

Reopen Discovery Cutoff/PMK Deposition: “[A]ny person shall be entitled as a matter of right to complete discovery proceedings on or before the 30th day, . . . before the date initially set for trial of the action.” (CCP § 2024.020(a).) “Except as provided in Section 2024.050, a continuance or postponement of the trial date does not operate to reopen discovery proceedings.” (Id. at (b).) Under CCP § 2024.050, “the court may grant leave to complete discovery proceedings, or to have a motion concerning discovery heard, closer to the initial trial date, or to reopen discovery after a new trial date has been set.” When determining whether to grant a motion to reopen the discovery cutoff, the court is to consider the following factors: (1) reason and necessity for discovery; (2) diligence or lack of diligence in seeking the discovery and reason it was not completed earlier; (3) likelihood that allowing the discovery will prevent the case from going to trial on the date set; and (4) length of time that has elapsed between the date previously set and currently set for trial. (CCP § 2024.050(b).)

The timeline in this matter is unusual. Trial was originally set for 12/7/18. It was vacated due to a stipulation filed on 11/7/18. The stipulation asked to stay the action to allow the parties to resolve this matter in binding arbitration. The stipulation states that the parties “agree they have had adequate time to conduct discovery since the inception of the ACTION, therefore there will be no additional discovery available to the PARTIES, whether written or through depositions.” This matter returned to active status on 10/3/25. Trial was set for 8/28/26. In the 3/23/26 minute orders for the trial setting conference, it indicate that there was a representation made at the trial setting conference that discovery was done. There is no indication in the minutes that there was any request to reopen discovery. Since there was a prior trial date in this matter, discovery was closed at the time the parties stipulated to go to arbitration.

San Jacinto asserts that the deposition of InvestUSA’s PMK is necessary and will lead to information that is directly relevant and necessary for San Jacinto’s preparation for trial. It argues that it was diligent in seeking said discovery. It asserts the bulk of the time this matter has been pending, it has been with arbitration, where discovery is typically limited. It contends that it wanted to resolve this matter outside of court, but InvestUSA’s counsel has not been responsive regarding this issue. It argues that the deposition could be completed before trial and that target discovery will promote just results. It also asserts any prejudice to InvestUSA would be limited.

InvestUSA contends that this motion should be denied because the parties stipulated to discovery being complete. While this is correct, this was done in connection with arbitration, which typically has limited discovery. As such, it does not appear fair to impose any stipulation regarding discovery and arbitration on San Jacinto.

It does appear that San Jacinto did not act diligently in bringing this issue to the Court. The matter was placed back on active status in October 2025. It does not appear that this issue was raised in the March 2026 trial setting conference. However, by the Court limiting the reopening of discovery to only the PMK deposition and only allows San Jacinto to take the deposition on one day for no more than the 7 hours (see CCP § 2025.290(a)), this deposition may occur and the matter will still move forward with trial on 8/28/26. The deposition of InvestUSA is directly relevant to this matter. As such, the Court grants the request but limits the discovery order as discussed above.